

Ordering (buy) and set-up (make) costs

Part 6 · Show me the money — solution report with data, method, results and charts

Contents

1. Part 6 · Show me the money — Ordering (buy) and set-up (make) costs

1. Ordering (buy) and set-up (make) costs

EGP 2,630

Ordering cost per purchase order
(A_{buy})

46%

Lost-capacity share of set-up

EGP 4,150

Set-up cost per production run
(A_{make})

Inbound freight (fixed part)

Largest buy element

Ordering costs are fixed per order — they grow with order frequency

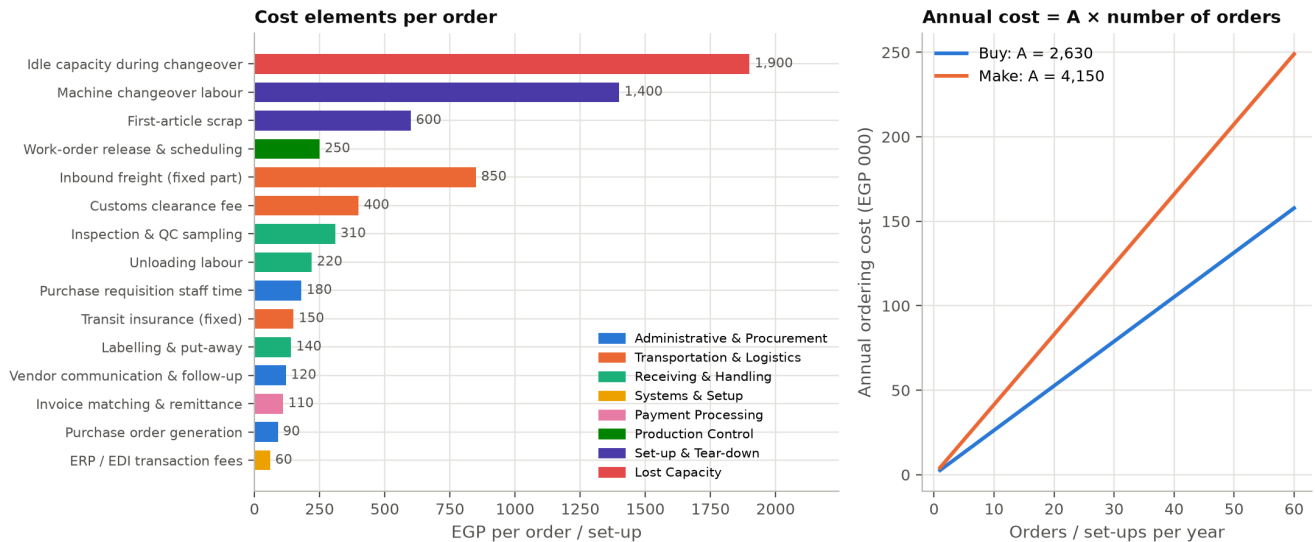


Figure 1.1 — Ordering / set-up cost elements and annual ordering cost vs frequency.

Ordering / set-up cost elements.

mod e	category	element	cost per order egp
Buy	Administrative & Procurement	Purchase requisition staff time	180
Buy	Administrative & Procurement	Purchase order generation	90
Buy	Administrative & Procurement	Vendor communication & follow-up	120
Buy	Transportation & Logistics	Inbound freight (fixed part)	850
Buy	Transportation & Logistics	Customs clearance fee	400
Buy	Transportation & Logistics	Transit insurance (fixed)	150
Buy	Receiving & Handling	Unloading labour	220
Buy	Receiving & Handling	Inspection & QC sampling	310
Buy	Receiving & Handling	Labelling & put-away	140
Buy	Systems & Setup	ERP / EDI transaction fees	60
Buy	Payment Processing	Invoice matching & remittance	110
Make	Production Control	Work-order release & scheduling	250
Make	Set-up & Tear-down	Machine changeover labour	1,400
Make	Set-up & Tear-down	First-article scrap	600
Make	Lost Capacity	Idle capacity during changeover	1,900

Annual ordering cost for selected frequencies.

orders per year	annual cost buy EGP	annual cost make EGP
4	10,520	16,600
12	31,560	49,800
26	68,380	107,900
52	136,760	215,800